

23STCV22947 23STCV22947

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Case Number: 23STCV22947 Hearing Date: July 15, 2026 Dept: 515

NATURE OF PROCEEDINGS:

Hearing on Defendants Martin Construction, Inc. and Traffic Management, Inc.'s

Motion for Determination of Good Faith Settlement

The Motion for Determination of Good Faith Settlement filed
by Martin Construction, Inc. and Traffic Management, Inc. is granted.

BACKGROUND

Plaintiff John Rutger Penick (Plaintiff) filed this action against Daniel Molinar (Molinar), So Cal Equipment Repair, Inc. (So Cal Equipment Repair), Sage Ranch LLC, Santa Fe Ranch, LLC, Traffic Management, Inc. (Traffic Management), Martin Construction, Inc. (Martin Construction), Jack Gerlach (Gerlach), Lightsource Entertainment, and Does 1 to 50. Plaintiff alleges on August 5, 2023, he was riding his motorcycle northbound when a forklift owned by Gerlach and driven by Molinar, in the course and scope of his employment with So Cal Equipment Repair, turned left across the northbound lane and struck him.

The causes of action in the First Amended Complaint (FAC) are:

(1) Motor Vehicle; and (2) General Negligence.

Traffic Management performed traffic control services for an AT&T project near the incident location on the day of the collision, and Martin Construction billed for that work. (Mot. at p. 4:13-18.) On March 11, 2026, after a mediation before the Honorable Daniel Buckley (Ret.), Plaintiff reached a settlement with Martin Construction and Traffic Management (collectively, "Settling Defendants"). Traffic Management, through its insurer,

will pay Plaintiff \$6,950,000 on behalf of both Settling Defendants, and Plaintiff will dismiss the FAC against them with prejudice. (Kelly Decl. ¶¶ 5-6; Mot. at pp. 7:26-8:2.)

The Settling Defendants filed a Motion for Determination of Good Faith Settlement on May 11, 2026, and served the notice, motion, and proposed order on all parties by certified mail, return receipt requested. (Kelly Decl. ¶ 3.) No party filed an Opposition.

LEGAL STANDARD

When only some of multiple defendants alleged to be jointly liable settle a case, the settling parties may apply to the court for a determination of good faith settlement. (Code Civ. Proc., § 877.6, subd. (a).) In the alternative, a settling party may give notice of settlement to all parties and to the court, together with an application for determination of good faith settlement and a proposed order, given by certified mail, return receipt requested, or by personal service. (Code Civ. Proc., § 877.6, subd. (a)(2).) If no nonsettling party files a notice of motion to contest the good faith of the settlement within twenty-five days of the mailing, the court may approve the settlement. (Ibid.) A determination of good faith settlement “shall bar any other joint tortfeasor or co-obligor from any further claims against the settling tortfeasor or co-obligor for equitable comparative contribution, or partial or comparative indemnity, based on comparative negligence or comparative fault.” (Code Civ. Proc., § 877.6, subd. (c).)

In *Tech-Bilt, Inc. v. Woodward-Clyde & Associates* (1985) 38 Cal.3d 488 (Tech-Bilt), the California Supreme Court set forth a nonexclusive list of factors for a trial court to consider in making this determination. “[T]he intent and policies underlying section 877.6 require that a number of factors be taken into account including a rough approximation of plaintiffs’ total recovery and the settlor’s proportionate liability, the amount paid in settlement, the allocation of settlement proceeds among plaintiffs, and a recognition that a settlor should pay less in settlement than he would if he were found liable after a trial. Other relevant considerations include the financial conditions and insurance policy limits of settling defendants, as well as the existence of collusion, fraud, or tortious conduct aimed to injure the interests of nonsettling defendants. [Citation.] Finally, practical considerations obviously require that the evaluation be made on the basis of information available at the time of settlement.” (Tech-Bilt,

supra, 38 Cal.3d at p. 499.)

The party asserting the lack of good faith bears the burden of proof on that issue. (Code Civ. Proc., § 877.6, subd. (d).) That party must be permitted to demonstrate “that the settlement is so far ‘out of the ballpark’ in relation to these factors as to be inconsistent with the equitable objectives of the statute.” (Tech-Bilt, supra, 38 Cal.3d at pp. 499-500.)

An unopposed motion for determination of good faith settlement need not recite a complete factual response to the Tech-Bilt factors. Only “when the good faith nature of a settlement is disputed, it is incumbent upon the trial court to consider and weigh the Tech-Bilt factors. That is to say, when no one objects, the barebones motion which sets forth the ground of good faith, accompanied by a declaration which sets forth a brief background of the case is sufficient.” (City of Grand Terrace v. Superior Court (1987) 192 Cal.App.3d 1251, 1261 (Grand Terrace).)

ANALYSIS

The Settling Defendants argue that the settlement was reached at arm’s length, that the amount paid is within the reasonable range of their proportionate liability, and that the settlement is free of collusion, fraud, or tortious conduct aimed at the nonsettling defendants.

The Settling Defendants proceeded under Code of Civil Procedure section 877.6, subdivision (a)(2). They served the notice, motion, and proposed order on every party by certified mail, return receipt requested, on May 11, 2026. (Kelly Decl. ¶ 3.) More than twenty-five days have passed. No nonsettling party filed a notice of motion to contest the good faith of the settlement, and no party filed an Opposition. The Court may therefore approve the settlement. (Code Civ. Proc., § 877.6, subd. (a)(2).)

Because no party disputes the settlement’s good faith, the Court need not weigh the Tech-Bilt factors. (Grand Terrace, supra, 192 Cal.App.3d at p. 1261.) In Grand Terrace, the nonsettling cities argued that the settlor’s motion was insufficient because the supporting declaration failed to address each of the Tech-Bilt factors. (Id. at p. 1258.) The Court of Appeal rejected the premise that every motion must carry a full factual recital, reasoning that the overwhelming majority of these

motions are unopposed and granted summarily, and that a contrary rule would consume thousands of attorney hours and waste judicial time. (Id. at p. 1261.) Here, as in Grand Terrace, no one objects. The motion sets forth the grounds of good faith, and the declaration of Spencer H. Kelly provides brief background on the case, identifies the settling parties, and states the basis, terms, and amount of the settlement. (Kelly Decl. ¶¶ 4-7.) That showing is sufficient.

Nothing in the record suggests that the settlement is out of the ballpark. Traffic Management, through its insurer, agreed to pay \$6,950,000 on behalf of both Settling Defendants following a mediation before a retired judge, and the parties reached that figure on the information available to them at the time. (Kelly Decl. ¶¶ 4, 6; Mot. at p. 8:7-9.) The burden of showing a lack of good faith rests on the party asserting it, and no party has made the requisite showing. (Code Civ. Proc., § 877.6, subd. (d).)

The Court concludes that the settlement between Plaintiff and the Settling Defendants was made in good faith within the meaning of section 877.6. Accordingly, the Motion is granted.

CONCLUSION

The Motion for Determination of Good Faith Settlement filed by Martin Construction, Inc. and Traffic Management, Inc. is granted.